AEROSPACE AND DEFENSE INDUSTRY REPORT

Aerospace and Defense Digest #91

May 31, 2026

Trump admin drone investment, SpaceX awards, New Glenn explosion, Phase 2 DDP, Hermeus DIU mod, KRMN pipeline, AV Huntsville expansion, BA 737 production, RKLB TRKT3 SRR

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WHAT YOU SHOULD KNOW: Welcome to the Aerospace & Defense Digest, where we highlight a few key stories and themes from the prior week and break down their implications for our coverage and the broader industry. In this edition: the Trump administration potentially investing in US drone companies, SpaceX (Private) being awarded two Space Force programs worth a collective ~$6.5bn, Blue Origin's (Private) New Glenn rocket explosion, Phase 2 Drone Dominance invitees, Hermeus' (Private) $159mn DIU contract modification, an update on Karman's (KRMN, Not Rated) pipeline, AV's (AVAV, Buy, $330 PT) Huntsville, AL facility expansion, Boeing (BA, Not Rated) 737 MAX production moving to 47/month, and an update on Rocket Lab's (RKLB, Neutral) SDA Tracking Layer Tranche 3 (TRKT3) constellation.

- **Trump administration in talks to fund US drone companies.** According to reports, the discussions have involved the Office of Strategic Capital (OSC) and the deals could consist of both debt and equity funding to support production. **OUR TAKE:** We estimate that the DoW requested $66.9bn in unmanned and counter-unmanned funding in FY27 (see Unmanned Bible). If passed, we believe this budget request and government debt/equity funding would enable the drone industrial base to scale meaningfully. For context, the US made fewer than 100,000 drones in 2025 while Ukraine made over 4mn. This funding would also follow recent US government investments in defense, including its $1bn investment in L3Harris' (LHX, Not Rated) Missile Solutions business (see A&D Digest #72).
- **SpaceX awarded ~$6.5bn in Space Force contracts.** It was awarded $4.2bn to accelerate the Space-Based Airborne Moving Target Indicator (SM-AMTI) program and $2.3bn to build the Space Data Network (SDN) backbone with its Starshield satellites (government version of Starlink). The former is designed to track and target airborne threats while the latter is intended to provide secure, high-speed global data transport for the Joint Force. **OUR TAKE:** While the SM-AMTI likely will not replace the SDA's Tracking Layer, we believe SDN could replace the Transport Layer, as the Trump administration has telegraphed. SDN was previously known as MILNET. Last year, the Space Force halted the Tranche 3 Transport Layer (T3TL) and requested $277mn for MILNET (see A&D Digest #44). Eventually, Congress decided to still fund T3TL (see A&D Digest #50). However, no awards have been made for T3TL, indicating that SDN may replace it. T3TL would have likely been bid on by those currently on prior Transport tranches, including York Space Systems (YSS, Not Rated), Lockheed Martin (LMT, Not Rated), Northrop Grumman (NOC, Buy, $815 PT), and Rocket Lab.
- **Blue Origin's New Glenn rocket explodes on the launch pad.** This occurred during a static fire test at its Cape Canaveral launch pad, LC-36A. The rocket and much of the infrastructure at LC-36A were destroyed. **OUR TAKE:** We view this as a major setback for the New Glenn program, as LC-36A is its only active orbital launch facility. Determining the root cause, implementing fixes, and rebuilding infrastructure will likely take anywhere from several months to over a year. The incident will therefore likely impact potential work on NSSL Phase 3 Lanes 1 and 2, as well as key missions including NASA's lunar base program and Amazon's (AMZN, Not Rated) LEO constellation. In our view, this further underscores the growing launch capability gap between SpaceX and the industry. We also would not rule out Blue Origin seeking outside capital as a result, as previously telegraphed by owner Jeff Bezos.

- **Phase 2 Drone Dominance Program qualifier invitees selected.** 49 companies will compete at Camp Grayling, MI in two mission areas: long range strike and tactical assault in close quarters. Companies selected include AV, Kratos (KTOS, Buy, $100 PT), Perennial Autonomy (Private), Powerus (Private), Red Cat (RCAT, Not Rated), and XTEND (Private, in process of merger with JFB [Not Rated]). **OUR TAKE:** As a reminder, the Drone Dominance Program is intended to deploy $1.1bn to procure +200,000 drones by 2027. We note that Gauntlet 2 includes $300mn for 60,000 drones from up to 10 companies.
- **Hermeus awarded $159mn DIU contract modification.** This raises the contract ceiling to $219mn. Hermeus will continue development of its Quarterhorse drone to carry and release payloads up to and including Mach 3. The company will conduct a series of intensive flight tests in 2026 and 2027. **OUR TAKE:** This comes on the back of Hermeus' $350mn Series C (see A&D Digest #84) and represents one of the largest DIU awards to date. We view this as a clear vote of confidence in the platform's transition from testbed to potential operational capability, particularly as management has framed Quarterhorse as a scalable, weaponizable system with strong service-level interest.
- **Karman pipeline up to $3bn from $1bn.** The company announced the aggregate value of business opportunities being pursued grew to ~$3bn (vs. $1bn as of March 31). This includes opportunities in tactical missiles & integrated defense systems (~$700mn), hypersonics & strategic missile defense (~$500mn), space and launch (~$300mn), and maritime defense (~$50mn). Karman has secured or is negotiating ~$395mn of this into backlog across agreements for a space launch LTA, munitions development, torpedo recovery, and UAS launchers. **OUR TAKE:** The 3x pipeline increase in two months highlights strong alignment with priority defense spending areas, alongside potential evidence that $156bn in OBBBA reconciliation funding is finally reaching customers (all expected to be spent in FY26).
- **AV announces additional government investment of $20.2mn in Huntsville, AL facility to support FE-1 production.** The 24,000 sq. ft. expansion is intended to increase quantities of Low-Rate Initial Production (LRIP) and accelerate future Full-Rate Production (FRP). The investment builds on the $95.9mn contract for the Army's Long-Range Kinetic Interceptor (LRKI) program (see A&D Digest #61). **OUR TAKE:** According to DoW documents, the Pentagon's FY27 budget request includes $20.6bn for C-UAS. We expect AV to benefit given its diverse solutions set, including directed energy (LOCUST), RF and EW (Titan), and kinetic (FE-1) systems.
- **Boeing increasing its 737 MAX production rate to 47/month.** It is currently producing at 42/month, but met FAA requirements to increase to 47/month, which it expects to reach in the coming months. While the company noted it expects to keep going up in rate, it noted the process of reaching 52/month could take at least six months once it is producing at 47/month. BA intends to eventually reach 63/month (higher than prior 57/month highs). **OUR TAKE:** This is in line with CEO Kelly Ortberg's commentary during the company's last earnings call, indicating that BA would reach 47/month by this summer. We view this as positive news for commercial aerospace materials suppliers, including ATI (Buy, $180 PT), Carpenter Technology (CRS, Buy, $450 PT), and Howmet Aerospace (HWM, Buy, $300 PT). For example, Howmet's 2026 outlook assumes average 737 MAX production of 42/month.
- **Rocket Lab passes SRR for TRKT3 satellites.** This validates RKLB's vertically integrated satellite solution and is an important milestone in the eventual delivery of its missile warning and tracking satellites. **OUR TAKE:** Late last year, Rocket Lab received an $816mn contract for 18 Tracking Layer satellites (see report). We expect 80% of the contract value to be recognized in the middle two years of the four-year program (i.e. 2027 and 2028).

Notable contract awards for the week of May 26-May 29:

- **May 26:** $1.0bn firm-fixed-price contract to Raytheon (RTX, Not Rated) for the procurement of NASAMS fire units.
- **May 27:** $854.7mn contract modification to Boeing (BA, Not Rated) for the production and delivery of four P-8A Lot 13 aircraft to Foreign Military Sale (FMS) customers, as well as provides additional non-recurring engineering for P-8A diminishing manufacturing sources and material shortages, software integration, and hardware updates for the Navy and FMS customers.
- **May 28:** $480.0mn cost-plus-award-fee, IDIQ to CH2M Hill (J, Not Rated) for comprehensive long-term environmental action services.
- **May 29:** Maximum $528.3mn contract modification to Boeing for the Performance-Based Support contract.

Aerospace & Defense Compsheet

Company	Ticker	EV	Market Cap	Current Price	BTIG Rating	Price Target	Implied Upside	2026 EV/EBITDA	2027 EV/EBITDA	2028 EV/EBITDA	2026 P/E	2027 P/E	2028 P/E	2026 P/FCF	2027 P/FCF	2028 P/FCF
Defense Primes																
Boeing	BA	$221,759	$182,216	$231	Not Rated	-		45.7x	25.5x	19.1x		56.2x	29.5x	74.6x	27.5x	19.1x
General Dynamics	GD	$100,543	$93,791	$347	Neutral	-		14.8x	13.8x	13.0x	20.8x	19.0x	17.6x	19.9x	19.8x	18.3x
Huntington Ingalls Industries	HII	$14,800	$12,143	$308	Not Rated	-		14.8x	12.5x	11.3x	17.9x	15.4x	13.6x	22.2x	19.3x	16.4x
Lockheed Martin	LMT	$145,985	$122,303	$530	Not Rated	-		12.5x	11.9x	11.6x	17.7x	16.6x	15.6x	18.5x	18.8x	17.7x
L3Harris	LHX	$70,110	$58,716	$315	Not Rated	-		16.3x	14.9x	13.6x	27.1x	23.1x	20.1x	19.8x	18.3x	16.6x
Northrop Grumman	NOC	$94,005	$80,061	$564	Buy	$815	44.6%	15.4x	14.5x	13.7x	20.2x	18.7x	17.3x	24.7x	23.4x	22.0x
RTX	RTX	$278,070	$241,945	$180	Not Rated	-		18.5x	17.0x	15.6x	25.9x	23.6x	21.4x	28.6x	24.6x	22.2x
Defense Primes Market Cap Weighted Average								**22.8x**	**17.3x**	**15.1x**	**22.7x**	**28.8x**	**21.3x**	**35.4x**	**23.1x**	**19.8x**
Defense Primes Market Cap Weighted Average excl. BA								**16.0x**	**14.9x**	**13.9x**	**22.7x**	**20.6x**	**18.8x**	**23.7x**	**21.8x**	**20.0x**
Defense Primes Market Cap Weighted Average excl. BA & RTX								**14.4x**	**13.5x**	**12.7x**	**20.5x**	**18.7x**	**17.1x**	**20.5x**	**20.0x**	**18.6x**
Defense Tech																
AV	AVAV	$10,454	$10,348	$207	Buy	$330	59.2%	29.5x	23.1x	18.1x	51.3x	38.5x	27.8x	78.4x	60.6x	
AEVEX	AVEX	$4,892	$4,387	$38	Not Rated	-		25.0x	18.4x	13.4x	104.7x	75.2x	51.2x	50.6x	58.0x	42.7x
AIRO Group	AIRO	$235	$282	$9	Neutral	-			8.2x	5.2x						
BWX Technologies	BWXT	$19,544	$17,945	$196	Buy	$235	20.0%	29.5x	26.1x	23.9x	41.7x	37.5x	33.5x	56.3x	54.1x	47.8x
Curtiss-Wright	CW	$28,434	$27,618	$748	Not Rated	-		33.5x	30.5x	27.1x	49.1x	43.8x	38.7x	46.3x	43.8x	40.1x
Karman Space & Defense	KRMN	$8,304	$7,620	$58	Not Rated	-		39.4x	30.0x	23.5x	100.6x	62.7x	45.5x	201.8x	106.5x	71.0x
Kratos Defense & Security Solutions	KTOS	$10,703	$12,026	$64	Buy	$100	55.9%	59.2x	43.1x	33.4x	83.7x	59.8x	46.0x			168.8x
Leonardo DRS	DRS	$12,998	$13,007	$49	Buy	$50	2.5%	25.0x	22.7x	20.5x	37.7x	34.3x	30.5x	50.4x	41.9x	35.9x
Mercury Systems	MRCY	$7,224	$6,707	$112	Not Rated	-		48.1x	37.1x	28.8x	103.9x	72.5x	52.2x	100.2x	80.4x	53.4x
Redwire	RDW	$5,351	$4,887	$25	Not Rated	-			891.2x	123.3x						
Defense Tech Market Cap Weighted Average								**35.4x**	**69.5x**	**29.3x**	**60.7x**	**47.6x**	**38.4x**	**70.6x**	**56.5x**	**62.1x**
Federal Services																
Amentum	AMTM	$9,060	$5,670	$23	Buy	$35	50.7%	8.3x	7.8x	7.2x	9.6x	8.4x	7.5x	10.2x	8.6x	7.3x
Booz Allen Hamilton	BAH	$12,512	$9,481	$79	Not Rated	-		10.4x	10.0x	9.5x	12.6x	11.6x	10.5x	11.3x	8.9x	8.7x
CACI International	CACI	$16,479	$11,344	$514	Not Rated	-		14.8x	12.8x	11.9x	18.3x	16.5x	14.4x	16.2x	14.7x	13.4x
KBR	KBR	$6,448	$4,431	$35	Not Rated	-		6.9x	6.8x	7.0x	8.8x	8.4x	8.3x	10.2x	9.1x	
Leidos	LDOS	$22,159	$16,075	$128	Not Rated	-		9.2x	8.8x	8.4x	10.4x	9.7x	8.7x	10.9x	9.5x	8.5x
MAXIMUS	MMS	$4,622	$3,254	$62	Not Rated	-		6.4x	6.1x		7.3x	6.8x				
Parsons	PSN	$7,588	$6,322	$59	Not Rated	-		12.2x	11.2x	10.4x	18.0x	16.0x	14.1x	15.2x	13.1x	11.7x
Science Applications International Corp.	SAIC	$6,900	$4,491	$104	Not Rated	-		10.3x	10.1x	10.3x	10.8x	9.8x	9.0x	7.4x	7.7x	7.5x
V2X	VVX	$3,521	$2,603	$83	Buy	$90	8.3%	9.9x	9.2x	8.6x	13.6x	12.3x	10.8x	14.6x	12.4x	11.7x
Federal Services Market Cap Weighted Average								**10.4x**	**9.7x**	**9.4x**	**12.7x**	**11.6x**	**10.6x**	**12.2x**	**10.7x**	**9.8x**
Commercial Aerospace																
AAR	AIR	$5,378	$4,478	$113	Not Rated	-		11.6x	10.4x	9.4x	19.9x	17.1x	15.4x	56.6x	45.7x	37.4x
AerSale	ASLE	$465	$311	$7	Not Rated	-		6.9x	6.2x		8.1x	5.8x			20.0x	
Airbus	EADSF	$139,752	$166,740	$212	Not Rated	-		13.2x	11.6x	9.8x				33.2x	24.3x	18.6x
ATI	ATI	$25,627	$23,904	$175	Buy	$180	2.8%	24.7x	21.3x	19.0x	39.8x	32.7x	28.0x	47.7x	39.3x	32.4x
Boeing	BA	$221,759	$182,216	$231	Not Rated	-		45.7x	25.5x	19.1x		56.2x	29.5x	74.6x	27.5x	19.1x
Carpenter Technology	CRS	$24,241	$23,302	$469	Buy	$450	-4.0%	28.3x	24.2x	20.7x	44.3x	37.4x	31.8x			
FTAI Aviation	FTAI	$30,031	$26,706	$260	Buy	$340	30.6%	20.4x	13.8x	10.6x	37.4x	21.3x	14.7x	46.5x	18.5x	10.5x
GE Aerospace	GE	$354,565	$337,792	$324	Not Rated	-		30.2x	27.2x	24.4x	42.8x	37.6x	33.0x	40.7x	35.8x	32.1x
Heico	HEI	$44,832	$48,578	$348	Not Rated	-		37.0x	33.9x	31.1x	58.4x	51.8x	45.4x	53.6x	45.8x	41.8x
Hexcel	HXL	$7,854	$6,773	$90	Not Rated	-		19.6x	16.6x	14.6x	39.0x	29.3x	24.2x	35.4x	27.0x	22.4x
Howmet Aerospace	HWM	$106,671	$103,328	$258	Buy	$300	16.2%	34.6x	29.9x	26.3x	51.5x	43.0x	36.4x	58.0x	47.8x	40.3x
Loar	LOAR	$6,989	$6,037	$64	Not Rated	-		27.0x	24.3x	22.1x	51.6x	42.6x	36.1x	50.4x	41.3x	37.5x
Moog	MOG.A	$12,636	$11,405	$360	Not Rated	-		20.1x	18.4x		33.9x	31.1x				
RTX	RTX	$278,070	$241,945	$180	Not Rated	-		18.5x	17.0x	15.6x	25.9x	23.6x	21.4x	28.6x	24.6x	22.2x
StandardAero	SARO	$11,673	$9,522	$29	Buy	$35	22.2%	13.3x	11.6x	10.3x	19.8x	16.3x	13.9x	33.5x	24.5x	18.8x
Textron	TXT	$18,324	$15,956	$92	Not Rated	-		10.4x	9.7x	9.3x	14.1x	12.5x	11.3x	21.9x	15.2x	12.2x
Transdigm	TDG	$100,963	$70,382	$1,258	Not Rated	-		18.7x	17.0x	15.6x	33.2x	29.0x	25.1x	33.1x	27.9x	24.5x
Woodward	WWD	$22,001	$20,856	$350	Not Rated	-		24.6x	22.2x	19.4x	37.5x	32.8x	27.8x	63.8x	41.3x	32.5x
Commercial Aerospace Market Cap Weighted Average								**27.0x**	**21.9x**	**19.1x**	**38.3x**	**36.9x**	**29.0x**	**44.2x**	**31.3x**	**26.4x**

Source: BTIG Research, FactSet

All forward estimates are FactSet consensus estimates. All price targets are BTIG Research estimates.

Aerospace & Defense Compsheet (cont.)

Company	Ticker	EV	Market Cap	Current Price		Price Target	Implied Upside	2026 EV/Sales	2027 EV/Sales	2028 EV/Sales
Space										
BlackSky Technology	BKSY	$2,214	$1,799	$48	Not Rated	-		13.5x	10.2x	7.4x
Firefly Aerospace	FLY	$7,785	$7,449	$46	Not Rated	-		15.8x	9.9x	6.0x
HawkEye 360	HAWK	$3,924	$3,073	$33	Not Rated	-				
Intuitive Machines	LUNR	$10,142	$7,033	$44	Not Rated	-		8.2x	6.8x	5.6x
Karman Space & Defense	KRMN	$8,304	$7,620	$58	Not Rated	-		11.5x	9.0x	7.1x
Planet Labs	PL	$20,496	$17,702	$51	Not Rated	-		36.1x	27.6x	21.0x
Redwire	RDW	$5,351	$4,887	$25	Not Rated	-		10.3x	8.5x	7.3x
Rocket Lab	RKLB	$91,917	$83,056	$143	Neutral	-		93.7x	67.6x	53.6x
Spire Global	SPIR	$938	$884	$23	Not Rated	-		9.0x	7.3x	
Virgin Galactic	SPCE	$724	$622	$6	Not Rated	-		37.1x	2.1x	1.2x
Voyager Technologies	VOYG	$3,685	$2,935	$50	Not Rated	-		12.6x	8.1x	4.1x
York Space Systems	YSS	$3,817	$4,233	$33	Not Rated	-		6.6x	4.3x	3.4x
Space Market Cap Weighted Average								**65.9x**	**47.6x**	**37.7x**

Company	Ticker	EV	Market Cap	Current Price		Price Target	Implied Upside	2026 EV/Sales	2027 EV/Sales	2028 EV/Sales
eVTOL										
AIRO Group	AIRO	$235	$282	$9	Neutral	-		2.1x	1.3x	0.8x
Archer Aviation	ACHR	$3,861	$5,173	$7	Not Rated	-		339.5x	38.0x	7.4x
BETA Technologies	BETA	$3,183	$4,232	$18	Buy	$33	79.9%	68.8x	8.2x	3.0x
Eve	EVEX	$1,130	$1,202	$3	Neutral	-			112.1x	3.1x
Joby Aviation	JOBY	$10,582	$11,705	$12	Not Rated	-		83.3x	42.9x	20.5x
Vertical Aerospace	EVTL	$372	$344	$3	Not Rated	-				5.9x
eVTOL Market Cap Weighted Average								**141.3x**	**38.4x**	**12.9x**

Source: BTIG Research, FactSet

All forward estimates are FactSet consensus estimates. All price targets are BTIG Research estimates.

BTIG Covered Companies Mentioned in this Report

AIRO Group Holdings (AIRO, Neutral, Closing Price: $8.89)
ATI, Inc. (ATI, Buy, $180 PT; Closing Price: $170.53)
AeroVironment (AVAV, Buy, $330 PT; Closing Price: $214.39)
Amentum Holdings (AMTM, Buy, $35 PT; Closing Price: $23.84)
BETA Technologies, Inc. (BETA, Buy, $33 PT; Closing Price: $18.33)
BWX Technologies, Inc. (BWXT, Buy, $235 PT; Closing Price: $199.27)
Carpenter Technology Corp. (CRS, Buy, $450 PT; Closing Price: $462.01)
Eve Holding, Inc. (EVEX, Neutral, Closing Price: $3.48)
FTAI Aviation Ltd. (FTAI, Buy, $340 PT; Closing Price: $262.78)
General Dynamics (GD, Neutral, Closing Price: $348.96)
Howmet Aerospace Inc. (HWM, Buy, $300 PT; Closing Price: $259.89)
Kratos Defense & Security Solutions (KTOS, Buy, $100 PT; Closing Price: $65.19)
Leonardo DRS (DRS, Buy, $50 PT; Closing Price: $48.41)
Northrop Grumman (NOC, Buy, $815 PT; Closing Price: $559.29)
Rocket Lab (RKLB, Neutral, Closing Price: $148.03)
StandardAero (SARO, Buy, $35 PT; Closing Price: $28.30)
V2X (VVX, Buy, $90 PT; Closing Price: $80.67)

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I, Andre Madrid, hereby certify that the views about the companies and securities discussed in this report are accurately expressed and that I have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report.

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Coverage Universe	Count	Percent	Inv. Banking Relationships	Count	Percent
Buy	357	66.5%	Buy	113	31.6%
Neutral	177	33.0%	Neutral	42	23.7%
Sell	3	0.6%	Sell	0	0.0%

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